

The complaint

Mr H is unhappy Liverpool Victoria Insurance Company Limited (LV) has declined a claim made under his home insurance policy.

What happened

In February 2020 following bad weather Mr H made a claim to LV, the provider of his home insurance, for storm damage to his property. Along with damage to the roof of his home, water entered Mr H's property causing damage internally and to contents items.

LV appointed a supplier to inspect the damage. Following this LV declined the claim for external damage on the basis they thought it was maintenance and wear and tear rather than storm related. But LV said they would consider the internal damage and damaged contents items.

Mr H was unhappy the external damage was declined so he complained to LV. They maintained their position. But they gave Mr H £100 for delays in the claim.

As Mr H remained unhappy he approached this service.

Our investigator looked into things and upheld the complaint. She said that she thought the damage being claimed for was consistent with storm damage, and the storm was the main cause. She said that LV had incorrectly declined the claim based on a different area of the roof and hadn't shown the exclusion applied. So she said that LV should consider any reasonable costs to fix the roof, and add 8% interest.

LV didn't agree and asked for a final decision from an ombudsman.

I reached broadly the same outcome as our investigator, but I reached a slightly different view on what LV needed to do to put things right. So I issued a provisional decision to give both parties an opportunity to comment on my findings, before I made my final decision.

What I provisionally decided – and why

In my provisional decision, I said:

"I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I'm minded to uphold the complaint for similar reasons to our investigator. But how I'm minded to say LV should put things right is slightly different, so I'm issuing a provisional decision to allow both parties to comment, before I reach my final decision.

Mr H's policy provides cover for storm damage, along with a number of other insured events. LV declined Mr H's external storm damage claim on the basis that the storm

highlighted wear and tear and poor workmanship issues with the roof, and this is excluded under his policy.

As the internal damage and contents items have been accepted by LV, I won't comment on these further. Instead I'll consider whether it was fair and reasonable for LV to decline the claim for external storm damage.

When we look at complaints about storm damage claims, we consider three main questions. If any of the answers to the three questions are *no* then it's likely a claim won't succeed.

Were there storm conditions

Both parties agree that there were storm conditions around the time of loss. LV also accept that the storm conditions could also have been stronger than those recorded at the nearest weather station, as Mr H's property is in an exposed location.

As this point isn't in dispute, I won't comment further on it.

Is the damage consistent with storm damage

Mr H's property has suffered damage to the roof tiles, hips and felt, along with lifting of the lead flashing. And there has been an ingress of water which has caused damage inside Mr H's home. This type of damage is consistent with storm damage, in the right conditions.

Although as LV has pointed out, some of the lead flashing that lifted was along the hips of the roof, which wouldn't ordinarily be used in this location. But regardless of that, lifting of lead flashing more generally is consistent with storm damage (if it was in the correct location, and in the correct conditions).

Was the storm the dominant cause of damage

Whether the storm was the dominant cause of the damage being claimed for is what's key here.

LV says it wasn't. They say that the maintenance of Mr H's property was poor, and the storm has highlighted wear and tear and poor workmanship, rather than being the dominant cause of damage.

I've seen the report carried out by LV's contractor and the photos taken from ground level. They said that there are numerous areas of age related deterioration to the main roof, hips and dormers, which also had historic repairs and lead flashing where you'd expect hip tiles to be. They've said the lead flashing along the hips isn't good building practice. And LV have also relied on google street view images which they say show evidence of poor workmanship and wear and tear to the roof.

They said there are numerous broken or slipped tiles which has contributed to the water ingress. And they said there is deflection and failure to the lead upstands which has allowed water to enter the property.

Having reviewed the images and report from LV's surveyor, I agree with their comments on the lead flashing and that some tiles also appear to have slipped in the earlier google images. So if this was the damage being claimed for by Mr H, I might have concluded LV's conclusions that it was wear and tear or poor workmanship related were reasonable.

However, Mr H has explained this isn't the area of damage being claimed for. And I don't think LV has done enough to demonstrate these areas of damage being claimed for are wear and tear or poor workmanship rather than storm related.

This is because LV didn't inspect the roof in the affected areas, as they didn't actually access the roof or see these from ground level. Rather LV are using the condition of other areas of the roof not being claimed for to decline the claim instead. And I don't think that's fair or reasonable or that by doing this LV has shown the exclusion applies.

Mr H has since had repair works carried out to the areas he claimed for. His contractor confirmed the general condition of the roof was good and that the lathes and underfelt were also very good. He commented the work he carried out was typical of storm damage with lifted tiles and ripped felt, which he believed was caused by strong winds. He also said that the lead flashing which LV had used in the reasoning to decline the claim wasn't ideal, but this was nothing to do with the area of damage he repaired. He said the repaired area was a completely different section of the roof.

An internal note from LV's file also shows that when the claim was first declined, LV contacted the supplier who visited and inspected the internal damage (which LV has accepted) and they said that there are two areas where water has come into the property. They said they didn't appear to have been longstanding and were fresh. This also indicates that the damage and resultant internal damage being claimed for was relatively recent. If it was a longstanding maintenance or wear and tear issue, then it's unlikely they would have concluded that.

So, as I said, if the area being claimed for was the same as where LV had inspected from ground level and using google images, then the wear and tear or maintenance conclusion might not have been unreasonable. But they are different areas to those being claimed for. And I don't think LV has shown those areas were wear and tear related rather than storm damaged, and the information from both Mr H's contractor, and LV's own agent also indicate otherwise.

With this in mind, and unless anything changes as a result of the responses to my provisional decision, I'm minded to conclude LV should deal with Mr H's claim for storm damage to the affected areas of the roof he's had repaired, and that 8% interest should be added to any cash settlement from date of payment to date of settlement.

But Mr H's repair invoice also includes repairing chimney damage, and Mr H accepts that this shouldn't be covered. But the invoice isn't broken down, and LV may need more information in order to determine the actual costs Mr H has incurred in repairing the storm damaged elements only.

So at this stage I can't decide the amount specifically, because LV would need to consider the invoice and breakdown to be able to consider the costs in connection to the storm related damage. And this might need Mr H to obtain further information from the repairer for LV to be able to do so. On this basis I'm minded to say LV should deal with the roof storm damage repairs, with 8% interest added for any cash settlement. And if there is ultimately a dispute over the amount payable by LV, we may be able to consider that as a new separate complaint about the settlement amount due.

LV also gave Mr H £100 compensation for the initial delays in the claim. But it's clear that declining the claim for external repairs, and Mr H needing to deal with this himself has caused him additional distress and inconvenience. So I'm also minded to say LV should also give Mr H a further £100 compensation."

I explained that I was minded to uphold the complaint and say it wasn't fair or reasonable for LV to rely on other areas of the roof to apply an exclusion to an area they hadn't seen. Unless anything changed, I said I was minded to direct LV to deal with the claim for storm damage to the affected area's only. And to add 8% simple interest to any cash settlement and pay a further £100 compensation. But I also said that the invoice didn't break down what was and wasn't storm related or the associated costs. So I said ultimately if that couldn't be agreed, then that would be a new separate complaint about the settlement amount.

The responses to my provisional decision

Mr H responded agreeing with my provisional decision and he said he had nothing to add.

LV responded with some additional comments. They said that their supplier did inspect the roof, but it doesn't appear they inspected the side(s) where the storm damage is being claimed for. They said that the area they inspected appeared to be the same as where the internal damage was. And had they been aware of other damage in other areas, then they could have re-inspected.

But LV did accept that their supplier could have looked at the whole roof, and may have missed some of the damage, but they were following the link with the internal damage and information at that time.

LV also commented on the invoice and some of the works noted within this which they said wouldn't be storm related, including the chimney. They said that if the felt and battens needed replacing, the only way damage would occur here is if the tiles had been removed in the storm. But the invoice made reference to needing to remove tiles, implying they were still in situ, so this couldn't be storm related damage.

They also said it's down to the policyholder to substantiate their loss, and the invoice contains work that wouldn't be caused by a storm. They said the only part they could reasonably consider would be the tiles, but it isn't clear without substantiation how many of the 22 were due to this or were in other areas of the roof, without a breakdown.

LV said that if my final decision remained the same as my provisional decision – that they need to consider some aspects of the invoice - they'd rather this be decided now to avoid further debate further down the line. So they said they'd be willing to compromise with 22 tiles and half the cost of the scaffolding, on the basis scaffolding would have been needed anyway by Mr H to address the non-storm related damage.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I've thought carefully again about the conclusions I reached in my provisional decision, and I haven't changed my mind.

LV seem to accept that they may have missed some of the roof damage. As I outlined in my provisional decision, if the areas being claimed for were the same as those LV reviewed, then the wear and tear and/or poor workmanship conclusion might not have been unreasonable. But here LV didn't inspect or view the area being claimed for, and they relied on the condition of other parts of the roof they had seen to conclude wear and tear and poor workmanship to other unrelated areas. But I didn't think that was fair as LV hadn't shown the exclusion applied to those parts of the roof, so the claim couldn't be declined in its entirety on that basis.

I also note that LV said if they'd been made aware of other areas, they could've re-inspected. However, Mr H did make LV aware during his communication with them during the claim, at various times, that the damage was in areas which weren't visible on the images they'd relied on.

LV said the only way there could be damage to the felt and battens would be if tiles had been removed by the storm, but the invoice referenced removing tiles which indicated they were still in situ. However, the invoice mentions both removing tiles from the damaged area of the roof and reinstalling some saved tiles, but also fitting 22 new tiles - indicating that they were damaged. The contractor said that tiles had been lifted and the underfelt ripped during the gale force winds, indicating storm damage. The contractor also said that the lathes and underfelt were very good, which would indicate it wasn't a longstanding wear and tear or maintenance issue.

As part of their response to my provisional decision, LV suggested that the amount and exact items to be paid should be decided here as part of this complaint. LV has suggested a compromise of paying for 22 of the tiles, and half of the scaffolding and given reasons for this. But I'm not going to decide if that amount is reasonable here, for the same reasons outlined in my provisional decision. Here I've decided that it wasn't fair or reasonable to outright decline all of the external damage based on the exclusion LV was relying on, because they hadn't inspected the damaged part of the roof being claimed for and had relied on another part of the roof to apply the exclusion to that unseen area.

I agree, as does Mr H, that not all the repairs on the invoice will be covered as some weren't connected directly to the storm damage being claimed. And the invoice isn't broken down either to separate the costs or specific works which were solely storm related and those that weren't. So I can't decide that here.

This is why I said LV would need to deal with the storm damage repairs only (and add 8% interest for any cash settlement due), rather than their current position of declining the entirety due to an exclusion they hadn't reasonably shown. I also said that Mr H might need to obtain additional information from the repairer for LV to be able to do so as this isn't clear from the invoice, and because clearly there are some works which (Mr H also agrees) won't be covered. But that's not yet been determined, as all of the damage and repairs until this point were declined on the basis of an exclusion, which hadn't been shown to apply to this part of the roof.

So, if Mr H accepts my final decision, then both Mr H and LV will need to discuss the works and costs incurred in repairing the storm damage only (and possibly obtain further information to do so – and to establish what is storm related repairs and what is not). And if ultimately an agreement can't be reached, then we may be able to consider that as a new separate complaint about the settlement of the storm related repairs.

Neither party commented on the increased compensation I was minded to direct LV to pay, so my view on this remains the same, and for the same reasons outlined in my provisional decision.

My final decision

It's my final decision that I uphold this complaint and direct Liverpool Victoria Insurance Company Limited to:

- Deal with Mr H's claim for storm damage to the affected areas of his roof that he's claimed for and had repaired
- For any cash settlement, add 8% simple interest from date of payment of the repairs to date of settlement
- Pay Mr H a further £100 compensation, in addition to the £100 already paid

*If Liverpool Victoria Insurance Company Limited considers that it's required by HM Revenue & Customs to deduct income tax from any interest due to Mr H, it should tell him how much it's taken off. It should also give Mr H a certificate showing this if he asks for one, so he can reclaim the tax from HM Revenue & Customs if appropriate.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr H to accept or reject my decision before 7 May 2021.

Callum Milne
Ombudsman